

Leonardo DRS

Business Development Dossier

Industry	Defense Electronics
Revenue	\$3.6B
Employees	7,000
Ideal Customer Profile Score	90

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name Leonardo DRS, Inc.

Headquarters Arlington, Virginia

Founded 1968

Ownership

Public (NASDAQ: DRS); majority owned by Leonardo S.p.A. (Italy). Operates under SSA (Special Security Agreement) for classified U.S. programs. IPO completed, publicly traded since 2022.

Footprint

Operations across U.S.: Arlington VA (HQ), Milwaukee WI, Cypress CA, St. Louis MO, Danbury CT, Charleston SC (new naval power facility). 7,000 employees. Parent Leonardo S.p.A. operates globally (Italy, UK, Poland, etc.) - U.S. operations maintain independence under SSA for classified work.

SECTION 1b

Company Overview

Leonardo DRS is the U.S. defense electronics subsidiary of Italy's Leonardo S.p.A., specializing in advanced sensing, network computing, force protection, and electric power/propulsion. With \$3.65B revenue, \$8.73B backlog, and 7,000 employees, Leonardo DRS is executing a CEO transition (John Baylouny, Jan 2026), new COO appointment (Sally Wallace, Jan 2026), and scaling production for Columbia-class submarine electric propulsion (\$3B+ in contracts), AEGIS combat systems, and Bradley vehicle sensors - opening a new \$100M+ naval power facility in Charleston, SC.

SECTION 2

Financial Health & Growth Stage

Understanding Leonardo DRS's financial position and trajectory is critical to framing any engagement conversation.

Revenue: \$3.65B in FY2025 (double-digit growth). Bookings \$4.25B (1.2x book-to-bill). Backlog \$8.73B. 2026 guidance: \$3.85-3.95B revenue, adjusted EPS \$1.20-1.26.

Profitability: Net earnings \$278M in 2025. Adjusted EBITDA \$453M. Margins expanding with production scale-up.

Capital Investment: New \$100M+ naval power and propulsion facility in Charleston, SC - major production capacity expansion for Columbia-class submarine electric propulsion systems.

Key Pressures: SSA governance adds coordination overhead with Italian parent; multiple acquisitions requiring integration (RADA, Ascendant, Daylight Solutions); new CEO/COO learning curves; classified program complexity.

Key Tailwinds: \$3B+ Columbia-class submarine contracts; \$45M Navy investment in submarine industrial base;

surging global defense electronics demand; CTO recognized as 2026 Technology Disrupter; Leonardo S.p.A. parent riding European defense spending boom.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Sally Wallace - Executive Vice President & Chief Operating Officer [PRIORITY TARGET]

With Leonardo DRS since 2002; previously EVP of Operations (since 2016), president of C4ISR Group, VP of business operations. 20+ year company veteran elevated to COO.

Outreach rationale: The most obvious McChrystal champion - newly elevated COO with 20+ years at DRS, managing growth execution across all business segments while coordinating with Italian parent through SSA governance. She knows the organization deeply and now has the authority to transform it. Her operational background (manufacturing, business operations) aligns perfectly with McChrystal's execution methodology.

Additional leadership team members relevant to the engagement:

John Baylouny - President & Chief Executive Officer

35+ years A&D industry experience; 15+ years in executive leadership. New CEO bringing fresh perspective to fast-growing company.

Dr. Phil Perconti - Chief Technology Officer

Named 2026 Defense News Index Technology Disrupter; leading advanced sensing and defense technology innovation

[CFO] - Chief Financial Officer

Financial leadership for publicly traded defense electronics company

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how Leonardo DRS operates today and where friction exists.

Organizational Structure

Operating segments organized around core defense capabilities: Advanced Sensing & Computing, Infrared & Imaging, Force Protection & Maritime, Naval Power Systems. Corporate in Arlington, VA provides SSA governance, investor relations, and Italian parent coordination. The new CEO/COO leadership team (both Jan 2026) is reshaping the organizational model for the next growth phase - from \$3.65B toward a projected \$4.1B by 2028.

Culture Signals

Italian Parent/U.S. Subsidiary Dynamic: Leonardo DRS operates under SSA governance - maintaining

operational independence from the Italian parent on classified programs. This creates a dual-identity culture: Italian corporate governance meets American defense execution. Employees navigate two organizational systems.

Growth-Phase Energy: Double-digit revenue growth creates organizational energy - new programs, new facilities, career opportunities. This is a company in ascent, not crisis.

New Leadership Fresh Start: New CEO (Baylouny, from outside) and elevated COO (Wallace, 20-year insider) create an interesting leadership dynamic - external vision + institutional knowledge. The combination, if coordinated well, can be powerful.

Defense Electronics Culture: Engineers, cleared personnel, and program managers who are deeply technical and mission-focused. Less hierarchical than shipbuilding or aircraft manufacturing - more Silicon Valley-meets-defense in some segments.

Charleston SC Facility Culture Building: The new naval power facility represents a cultural buildout - creating a manufacturing culture from scratch at a new site, staffed by new employees, for the most critical submarine program in the Navy.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging Leonardo DRS.

1. 2026-01-01 - John Baylouny becomes CEO; Sally Wallace elevated to COO - dual leadership transition

New CEO + new COO simultaneously = organizational inflection point. The first 6 months of this leadership team determine the operating model for the next growth phase.

2. 2026-01-26 - New naval power and propulsion facility opens in Charleston, SC for Columbia-class submarine electric propulsion

New manufacturing facility = new organizational culture to build. Recruiting, training, and qualifying workers for nuclear submarine electric propulsion at a greenfield site is a massive organizational coordination challenge.

3. 2026-03-03 - CTO Dr. Phil Perconti named 2026 Defense News Index Technology Disrupter

Technology leadership recognition raises the organizational stakes - must deliver on the innovation promise through production-scale execution.

4. 2025-12-01 - \$3B+ Columbia-class submarine contracts; \$45M Navy investment in submarine industrial base

Navy investing directly in Leonardo DRS's production capacity - creating accountability for delivery that goes beyond normal customer relationships.

5. 2025-06-01 - Multiple acquisitions (RADA, Ascendant, Daylight Solutions) requiring integration while scaling core business

Acquisition integration during rapid organic growth - the classic PE-style challenge of absorbing new companies

while the core business demands all available attention.

SECTION 6

McChrystal Fit Assessment

Leonardo DRS is the best-sized prospect in the defense batch - \$3.65B revenue is squarely in the ICP sweet spot (\$500M-\$10B). New CEO/COO (both Jan 2026) creates maximum openness to organizational support. Sally Wallace (COO, 20-year insider) is the ideal McChrystal champion - operational leader with authority and institutional knowledge. Double-digit growth + new facility + acquisitions + SSA governance = compounding organizational complexity. The Columbia-class submarine program creates national security urgency. McChrystal's military/naval credibility resonates in defense electronics.

Primary Problem

Scaling a \$3.65B defense electronics company to \$4B+ under brand-new CEO/COO leadership, while opening a greenfield manufacturing facility (Charleston), integrating multiple acquisitions (RADA, Ascendant, Daylight Solutions), delivering on \$3B+ Columbia-class submarine contracts, and coordinating with an Italian parent company through SSA governance - all at double-digit growth rates that strain every organizational system.

Best McChrystal Capability Fit

Growth-phase organizational scaling with multi-stakeholder coordination - Leonardo DRS combines the rapid growth challenge (double-digit revenue growth) with the multi-stakeholder complexity (Italian parent, SSA governance, Navy customer, multiple acquisitions). McChrystal's operating model connects autonomous units into a coordinated whole while managing external stakeholder relationships - exactly what Leonardo DRS needs as it scales under new leadership.

Likely Objections to Engagement

We're growing fast - things are working
New CEO/COO want to establish their own approach
SSA governance complicates external engagement
Leonardo parent may have opinions on U.S. advisory relationships
At \$3.65B we may not spend on premium advisory

Competitive Advisory Landscape

McKinsey - defense strategy
Deloitte - IT integration, SSA compliance
Internal: Wallace's 20-year institutional knowledge is itself a capability
Leonardo parent may recommend European consulting firms

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. With a new CEO, new COO, a new manufacturing facility in Charleston, and double-digit growth - how is the leadership team building the operating model for the next phase of DRS's growth?

Acknowledge the exciting growth position while surfacing the organizational design question. New leadership + greenfield facility = the perfect moment to intentionally design the operating model rather than inherit one.

2. Building a new naval power facility from scratch in Charleston - recruiting, training, and qualifying workers for Columbia-class submarine electric propulsion - what's the organizational coordination challenge been like?

Specific question about the Charleston facility that demonstrates understanding of defense manufacturing complexity. Greenfield facilities are where McChrystal's operating model is most valuable - building culture from Day 1.

Recommended Meeting Framing

Frame as a conversation about building organizational capability during rapid growth - specifically, how the new CEO/COO team can intentionally design the operating model for \$4B+ rather than letting it evolve organically. McChrystal's military experience building new organizational capabilities under time pressure (standing up new units) is the credibility anchor. The naval/submarine connection is genuine.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects Leonardo DRS's market positioning to potential McChrystal engagement opportunities.

Brand Value: Leonardo DRS is positioned as a technology-first defense electronics company - 'Technology Disrupter' (2026 Defense News recognition) within the larger Leonardo group. The brand carries credibility in naval power, advanced sensing, and force protection.

Brand Identity Challenge: Operating as a U.S. subsidiary of an Italian parent creates brand complexity - is Leonardo DRS an American defense company or an Italian defense company's U.S. operation? The SSA governance is designed to resolve this legally, but the cultural brand identity question persists.

McChrystal Connection: Leonardo DRS's brand promise of 'technology disruption in defense' requires organizational execution that translates innovation into production-scale delivery. Every Columbia-class submarine propulsion system that ships on-time reinforces the brand. McChrystal's operating model ensures the execution matches the innovation ambition.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing Leonardo DRS. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: New Leadership Operating Model Design

New CEO + new COO (both Jan 2026) = the highest-leverage moment for organizational design. McChrystal's CEO/COO operating cadence methodology helps the new leadership team build shared decision-making frameworks, information flow architecture, and enterprise operating rhythm from the start - rather than discovering them through trial and error over 12-18 months.

Fit Dimension 2: Greenfield Facility Culture Building (Charleston)

The new Charleston naval power facility represents the rarest organizational opportunity - building manufacturing culture from scratch. Every hiring decision, every training program, every quality standard shapes the DNA of this facility for decades. McChrystal's organizational design methodology ensures the Charleston facility embodies execution discipline from Day 1.

Fit Dimension 3: Multi-Stakeholder Coordination (Italian Parent + Navy + SSA)

Leonardo DRS navigates multiple stakeholder relationships: Italian parent (strategic direction, governance), U.S. Navy (customer, investor in industrial base), SSA governance board (classified program oversight), and U.S. government (regulatory). McChrystal's multi-stakeholder coordination model - proven in multinational military operations - is the direct capability fit.

Fit Dimension 4: Acquisition Integration During Growth

RADA, Ascendant, and Daylight Solutions acquisitions add technology but also organizational complexity - different cultures, systems, and customer relationships that must integrate while the core business grows double-digits. McChrystal's integration methodology manages absorption without diluting growth velocity.

9b. Cumulative Case - Why Leonardo DRS Is a Top Pipeline Opportunity

Leonardo DRS is the highest-conviction prospect in the defense batch - ICP-sweet-spot revenue (\$3.65B), new CEO/COO (maximum openness), double-digit growth, greenfield facility, \$3B+ Columbia-class contracts, multiple acquisitions, and a named champion (Sally Wallace, COO). Signal chain: New CEO/COO (Jan 2026) -> Charleston facility opening -> Columbia-class scaling -> acquisition integration -> double-digit growth -> \$8.73B backlog -> Italian parent coordination. Revenue potential: \$350K-\$400K initial (leadership alignment + Charleston operating model), \$800K-\$1.2M deployment, \$300K ongoing. Total: \$1.5M-\$2M over 18-24 months.

9c. Enterprise Issues

1. New Leadership Alignment: CEO (external) + COO (20-year insider) must build shared operating norms and decision-making framework quickly. Different perspectives are an asset if coordinated, a risk if not. 2. Charleston

Facility Stand-Up: Recruiting, training, and qualifying a manufacturing workforce for nuclear submarine electric propulsion at a greenfield site - timeline pressure from Columbia-class delivery schedule. 3. Acquisition Integration Bandwidth: RADA (Israeli defense tech), Ascendant, and Daylight Solutions each brought different technologies and cultures. Integration competes for attention with organic growth demands. 4. SSA Governance Coordination: Italian parent's strategic priorities may not always align with U.S. operational demands. SSA governance adds process overhead that must be managed efficiently. 5. Technology-to-Production Gap: CTO's 'Technology Disrupter' innovation must translate through engineering, manufacturing, and quality to delivered products. The organizational bridge between lab and factory is where innovation becomes revenue.

9d. Expected Outcomes

1. CEO/COO Operating Cadence: Shared leadership framework for Baylouny and Wallace. Measurable: leadership team effectiveness metrics established within 90 days. 2. Charleston Facility Operating Model: Organizational design for greenfield naval power manufacturing. Measurable: workforce readiness milestones on-track; production qualification on-schedule. 3. Acquisition Integration Coordination: Operating rhythm connecting RADA, Ascendant, and Daylight Solutions integration with core business. Measurable: integration milestones achieved without core business disruption. 4. Multi-Stakeholder Coordination: Framework for Italian parent, Navy, and SSA governance coordination. Measurable: stakeholder alignment meetings structured and productive. 5. Growth Scaling Architecture: Enterprise operating model designed for \$4B+ trajectory. Measurable: organizational capacity keeping pace with revenue growth.

9e. Key Stakeholders

CEO

Leader: John Baylouny

Role: Enterprise leadership (new, external)

McChrystal Relevance: Executive sponsor

COO

Leader: Sally Wallace, EVP

Role: Operations, growth execution (20-yr insider)

McChrystal Relevance: Priority: McChrystal champion

CTO

Leader: Dr. Phil Perconti

Role: Technology innovation, 2026 Disrupter

McChrystal Relevance: Tech-to-production bridge

CFO

Leader: [CFO]

Role: Financial management, investor relations

McChrystal Relevance: Budget gatekeeper

Naval Power Systems

Leader: [Segment Leader]

Role: Columbia-class, Charleston facility

McChrystal Relevance: Priority: Greenfield operations

Leonardo S.p.A.

Leader: [Parent liaison]

Role: Italian parent coordination

McChrystal Relevance: SSA governance

9f. Opportunity Thesis

Strategic Signal Convergence - Why Now: New CEO/COO (Jan 2026) -> Charleston facility opening (Jan 2026) -> Columbia-class scaling -> double-digit growth -> acquisition integration -> \$8.73B backlog. All converging in Q1 2026. The first 6 months of new leadership determine the operating model for the next growth phase.

The Structural Paradox - Why McChrystal, Not McKinsey: McKinsey advises on defense strategy. Deloitte handles SSA compliance and IT. But building the operating model for a \$3.65B company scaling to \$4B+ under new leadership, with a greenfield facility, multiple acquisitions, and Italian parent governance - that's McChrystal's specialty. The military/naval credibility (Columbia-class submarine program) opens doors. And at \$3.65B, Leonardo DRS is sized right for a McChrystal engagement that reaches the CEO level.

Phased Engagement Hypothesis - Land and Expand:

- Phase 1 (Months 1-3, \$300K-\$400K): CEO/COO Leadership Alignment + Charleston Facility Operating Model - help Baylouny and Wallace build shared operating cadence; design the organizational DNA for the greenfield Charleston facility.
- Phase 2 (Months 4-9, \$500K-\$800K): Enterprise deployment - acquisition integration coordination, multi-stakeholder framework, growth scaling architecture.
- Phase 3 (Months 10-18, \$300K retainer): Ongoing operating model management, new facility maturation, parent coordination.

Multi-Threaded Pursuit Map:

- Thread 1: Sally Wallace (COO) - THE entry point. Angle: "As a 20-year DRS veteran now COO under a new CEO, how are you building the operating model for the next growth phase - and what does the Charleston facility need organizationally?" She's the insider with authority and the person who will champion McChrystal internally.
- Thread 2: Naval Power Systems leader - Charleston facility. Angle: "Building a nuclear submarine propulsion manufacturing culture from scratch - what's the organizational design for that?" Technical, specific, shows understanding.
- Thread 3: John Baylouny (CEO) - executive sponsor via defense industry network. New CEO is establishing his approach; a McChrystal introduction through defense network connections creates early relationship.
- Warm Introduction Vectors: Naval community (submarine warfare, NAVSEA); defense electronics conferences; McChrystal's military connections with Navy programs that use DRS equipment; Charleston SC defense/military community.